Recognizing Bhutan's maturity as a nation and its transition to a democracy, the language in the Treaty pertaining to foreign policy now talks in terms of "co-operation". The new Treaty in essence emphasize Bhutan's sovereignty and it's right to pursue an independent foreign policy as long as it does not compromise Indian interests.

Although relations remained close and friendly, the Bhutanese government expressed a need to renegotiate parts of the Treaty of 1949 in order to enhance Bhutan's sovereignty. Following the India-China border war of 1962, Bhutan was facing a tough choice. On the one hand, the Royal Government harboured doubts about India's capability to assist, and on the other hand, Bhutan was apprehensive of Chinese designs in the Himalayan region. Bhutan also realized its vulnerability to possible Chinese threat emanating from its alignment with India. Therefore, for the time-being, the Royal Government of Bhutan tried to follow the 'Nepali model' of equal friendship with India and China. But in the long run, Bhutan relinquished the 'Nepali model' as the fear of Chinese policies in Tibet influenced the Royal Government to extend closer ties with India. Formal bilateral relations between Bhutan and India were established in January 1968 with the appointment of a special officer of the Government of India to Bhutan. The India House (Embassy of India in Bhutan) was inaugurated on 14 May 1968 and Resident Representatives were exchanged in 1971.

Bhutan began to slowly assert an independent attitude in foreign affairs by joining the United Nations in 1971, recognizing Bangladesh and signing a new trade agreement in 1972 that provided an exemption from export duties for goods from Bhutan to third countries. Bhutan exerted its independent stance at the Non-Aligned Movement (NAM) summit conference in Havana, Cuba also in 1979, by voting with China and some South-east Asian countries rather than with India on the issue of allowing Cambodia's Khmer Rouge to be seated at the conference. Bhutan also signed the Nuclear Non-proliferation Treaty in 1985 to which India is a non-signatory. Bhutan also took steps to rechristen the Bhutanese Embassy in New Delhi as the Royal Bhutanese Embassy (1978), opening of diplomatic relations with Bangladesh (1979) and the inauguration of Druk Air